

Fergus McCormack

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Darwin College, University of Cambridge, CB3 9EU, United Kingdom

Education

University of Cambridge PhD in Economics <i>Advisors: Eric French, Weilong Zhang</i>	2022 – present
Research visit at University of Oslo, hosted by Eivind Ystrøm	Oct – Nov 2025
University of Cambridge MPhil in Economic Research (Distinction)	2020 – 2021
University of Edinburgh MA in Economics (First Class Honours, Ranked 1st in Cohort)	2016 – 2020
University of Pennsylvania (Exchange) GPA: 3.96/4.0, Dean’s List	2018 – 2019

Research Interests

Health Economics, Labor Economics, Behavioral Genetics, Applied Microeconomics.

Job Market Paper

The “Depression Trap”: Genetic Risk, Labor Supply, and the Case for Precision Psychiatry

Joint with Qianyu Yang

Abstract. We analyze how genetic risk for depression influences the joint dynamics of labor supply, health, and treatment decisions using a life-cycle model and longitudinal data. We find that a one standard deviation increase in genetic risk for depression substantially reduces earnings and employment and worsens health. We identify the “depression trap”, a self-reinforcing cycle of depression and non-employment, as the central mechanism linking genetic risk to persistent labor market exit. As publicly funded psychotherapy is free at the point of use and supply-constrained, we evaluate prioritizing access to high-risk individuals, and find that this raises employment and lowers severe depression, resulting in a net fiscal surplus. We also simulate the economic and health consequences associated with recent declines in mental health and explore potential policy solutions.

Working Papers

The Economic Cost of Depression: Triangulation Using Panel and Mendelian Randomization Analyses

Joint with Robert Campbell and Benjamin Woolf

Abstract. Depression, poor educational attainment, poor health, and unemployment form a correlated web that reduces human flourishing, but the causal links between them are unclear. We estimate the causal effect of depressive symptoms on educational and labour market outcomes by triangulating four research designs across economic, clinical, and genomic data. In UK longitudinal data (305,686 person-wave observations), a one standard-deviation (s.d.) rise in depressive symptoms lowers income in the following wave by 0.036 s.d. and employment by 0.044 s.d.; instrumenting symptoms with bereavement gives larger but less precise short-run estimates. Two genetic designs capture lifetime liability: two-sample Mendelian randomization on summary statistics from up to 2.1 million individuals, and a polygenic index instrument in the genotyped UKHLS subsample. In these designs, genetic liability to depression lowers income by 0.24–0.49 s.d., educational attainment by 0.14–0.46 s.d., and occupational status by 0.36–0.65 s.d. The education and occupation penalties fall almost entirely on women, while most of the income penalty for both sexes runs through employment rather than pay. The

economic cost of depression accumulates over the life course, so treatment before labour-market entry may yield the largest economic returns.

Not All Made Equal? Genetics, Ageing and Wellbeing: Evidence from the UK

Joint with Alan Piper (draft available upon request)

Abstract. Life satisfaction is U-shaped over the life cycle, and roughly 40% of the variation in wellbeing is heritable. We ask how genetic predispositions for wellbeing interact with ageing. Matching a wellbeing polygenic index (PGI) to panel data from the British Household Panel Survey and the UK Household Longitudinal Study, we establish three results. First, the PGI predicts substantial and statistically significant differences in life satisfaction at *every* point in the life cycle. Second, the U-shaped age profile of wellbeing holds *within* both high- and low-PGI groups. Third, individuals with a lower PGI face a *more pronounced* U-shape, so the genetic wellbeing gap is widest in middle age and narrower at the tails. The first two findings are robust to a within-family design that controls for parental PGIs, while the third fails to replicate in the within-family sample. A mediation analysis shows that declining physical health accounts for roughly one-third of the age variation in the gap.

Works in Progress

The Genetic Child Penalty: Evidence from the UK and Norway

Joint with Emil Sørensen, Stephanie von Hinke, and Eivind Ystrøm

Abstract. Does the child penalty reinforce genetic inequality? Using Norwegian administrative data linked to molecular genetic information, we estimate gene–environment ($G \times E$) event studies around first birth. Women below the median polygenic index for educational attainment experience an employment penalty 1.5 percentage points larger initially, widening to 4 percentage points after ten years. The gap persists controlling for education, implying mechanisms beyond schooling. UK household panel data corroborate the pattern. Policies reducing the child penalty generate a double dividend: improving gender equality *and* attenuating the economic consequences of the genetic lottery.

Genetic and Economic Interaction in Health Formation: The Case of Obesity

Joint with Pietro Biroli and Qianyu Yang

We develop a structural model of health and human capital formation in which genetic endowments shape both the utility cost of health investments and the technology of health production, and hence the incentives to invest in healthy habits. Taking body mass index as the measure of health and physical activity and food intake as the investments, we study how these choices interact with variants in *FTO* and other loci associated with BMI in genome-wide association studies, using cohort data on British adolescents and US adults.

Publications in Other Fields

From Screening to Support: Structured Bibliotherapy and Community-Based Well-Being Programs as Adjuncts to the Older Adults with Cancer–Depression Scale

Joint with Catherine J. Michelutti. *Cancer*, 2026, 132(16), e70565 (letter to the editor).

Conferences and Seminars

2026: Cambridge Labor/Public Reading Group ($\times 2$); Cambridge Applied Micro PhD Workshop; European Social Science Genetics Network (ESSGN) Conference; LSE Wellbeing Seminar Series; CEPR Longevity and Ageing Conference; European Economic Association Meeting*; Mental Health and the Labor Market*; EDGE Jamboree*; Annual Health Econometrics Workshop*; UCL*; USC CESR Seminar Series in Social Science Genetics*.

* scheduled

2025: Cambridge Labor/Public Reading Group ($\times 2$); ESSGN Conference; LSE Wellbeing Seminar Series; Economics of Mental Health Workshop; University of Oslo ($\times 2$); Darwin College Social Science Seminar Series.

2024: Cambridge Public Health Showcase; ESSGN Conference; Cambridge Applied Micro PhD Workshop; Cambridge Labour/Public Reading Group.

2023: Cambridge Macroeconomics Reading Group; Cambridge PhD Macro Workshop; Cambridge Public Health Showcase.

2022: Cambridge PhD Macroeconomics Workshop.

Selected Professional Experience

European Central Bank	2021
Trainee, Euro Area External Sector and Euro Adoption Division	
InvesTAO Ltd	2020
Research Intern	
Barclays Investment Bank	2019
Intern, Equity Research	

Scholarships and Awards

Mercatus Fellowship (~£2,000)	2026
University of Cambridge Faculty Trust Funding Award (£4,500)	2025
SHARE Foundation Egalitarian Capitalism Award (£1,500)	2025
Doctoral Training Programme Studentship, ESRC (~£85,000)	2022 – 2025
Forethought Fellowship (£5,000)	2022
Open Philanthropy Early Career Funding (£15,000)	2022
University of Edinburgh Prizes for Top Dissertations and Overall Performance (£1,000)	2020
Japanese Government MEXT Undergraduate Studies Scholarship (offered, ~£65,000)	2017

Teaching

Lecturer , Downing College Summer Programme, University of Cambridge	2024, 2025
Introductory Economics, Applied Microeconomics	Average Rating: 4.8/5
Lecturer , Mawhiba International Enrichment Programme	2023, 2024
Economics & Entrepreneurship	Average Rating: 4.8/5
Teaching Assistant , Sun Yat-Sen Business School Executive MBA Programme	2024
Global Campus (Finance, Organisational Behaviour, Sustainable Development, Asset Management)	
Graduate Teaching Assistant , University of Cambridge	2023 – 2024
Macroeconomics (Diploma in Economics)	

Service

Refereeing: <i>Journal of Labor Economics</i> , <i>The Economic Journal</i>	
Organizer, Cambridge Labor Economics Reading Group	2025 – 2026
Co-Coordinator, Economics PhD Applicant Mentoring Program (AMP)	2024
Mentor, Economics PhD Applicant Mentoring Program (AMP)	2022 – 2025
President, Darwin Entrepreneurs' Club	2023 – 2025
Founded and organized the £5,000 Darwin College Business Plan Competition	
Lecturer, Gonville & Caius College Outreach Programme	2023, 2025
Undergraduate Thesis Supervisor, University of Cambridge	2023 – 2024
Undergraduate Admissions Interviewer, Murray Edwards College, Univ. of Cambridge	2023, 2024

Personal Information

Languages	English (native), French (advanced), Japanese (advanced), Irish (intermediate)
Citizenship	Ireland
Programming	R, MATLAB, Stata, Python, Julia

References

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Industrial Relations and Labour
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